NOTES

forming part of the consolidated financial statements

37. Contingencies and commitments (Contd.)

(March 31, 2025: ₹765.83 crore), which includes **₹20.66** crore (March 31, 2025: ₹59.85 crore) in respect of equity accounted investees.

The detail of significant demand is as below:

The Company is providing municipal services in the town of Jamshedpur as per the Lease deed dated August 20, 2005. In this regard, the Company has entered into various agreements with Tata Steel Utilities and Infrastructure Services Limited ('TSUISL'), whereby TSUISL provides services to the Company, and the Company in turn provides such services to the residents. TSUISL charges GST on the invoices raised and the Company takes Input Tax Credit (ITC) of the same in terms of the GST Laws.

Further, the Company maintains Tata Main Hospital (TMH) in the town of Jamshedpur, wherein health care services are provided to employees as well as non-employees. The Company has taken ITC of GST paid on various services received which is attributable to employees.

Both the above ITC were disputed by the department and show cause notices (SCN) were issued. The demand in the said SCN has been confirmed vide order in original dated June 23, 2023. Against the said Order, the Company preferred an appeal before the Commissioner (Appeals) Ranchi which was disposed in the favor of the company vide order dated May 22, 2025.

The amount involved as at March 31, 2026 amounts to **Nil** (March 31, 2025: ₹154.54 crore).

Sales tax /VAT

As at March 31, 2026, sales tax demands that are being contested by the Group amount to **₹476.03** crore (March 31, 2025: ₹380.98 crore), which includes **₹17.66** crore (March 31, 2025: ₹29.74 crore) in respect of equity accounted investees.

Other taxes, dues and claims

(a) Orissa Rural Infrastructure and Socio-Economic Development Act, (ORISED)

The State of Odisha enacted the "Orissa Rural Infrastructure and Socio-Economic Development Act, 2004 (ORISED Act)" with effect from February 01, 2005, levying tax on mineral bearing land.

The Company during FY06 received various demands amounting to ₹129 crore pertaining to the period FY05 and FY06 in respect of its mines in the State of Odisha. The Company had filed a writ petition in the Hon'ble High Court of Orissa challenging the constitutional validity of the Act on the ground that the State of Odisha lacks the legislative authority to enact ORISED Act, 2004 and therefore the same is unconstitutional. The Hon'ble High Court of Orissa in December 2005 held that the State does not have the legislative authority to levy tax on minerals. The State of Odisha had challenged the Judgment of the Hon'ble High Court before the Hon'ble Supreme Court. Subsequently, the matter relating to legislative authority of the States to tax minerals, was referred to the Constitution Bench of the Hon'ble Supreme Court.

The Judgement of the Constitution Bench of the Hon'ble Supreme Court was pronounced on July 25, 2024. The Hon'ble Supreme Court ruled that the Mines and Minerals (Development & Regulation) Act will not denude the States of the power to levy tax on mineral rights. The Constitution Bench further directed the listing of pending matters before an appropriate Regular Bench of the Hon'ble Supreme Court. This was followed by an Order dated August 14, 2024 of the Constitution Bench of the Hon'ble Supreme Court, directing/clarifying certain matters in respect of its Judgement dated July 25, 2024.

Notwithstanding the recent Judgement dated July 25, 2024 and August 14, 2024 of the Constitution Bench of the Hon'ble Supreme Court laying down the principle of law, pending hearing of the Appeal filed by the State of Odisha before the appropriate Regular Bench of the Hon'ble Supreme Court against the Judgement and Order of the Hon'ble High Court of Orissa which had declared the ORISED Act, 2004 to be unconstitutional and inoperative, it is unclear/uncertain as regards the form and manner in which the ORISED Act, 2004 may get enacted once the decision of the Hon'ble High Court of Orissa is set aside by the Hon'ble Supreme Court, which currently is pending.

The Company has filed a curative petition before the Hon'ble Supreme Court of India on January 17, 2025, invoking extraordinary jurisdiction of the Hon'ble Supreme Court of India under Article 142

NOTES

forming part of the consolidated financial statements

37. Contingencies and commitments (Contd.)

of the Constitution of India read with order XLVIII, Rule 1 of the Supreme Court Rules, 2013 in respect of the order dated September 24, 2024 passed by the Constitutional Bench of the Hon'ble Supreme Court of India dismissing the review petition against judgment dated July 25, 2024 and August 14, 2024, which is pending.

Accordingly, the Company would be able to assess the financial impact, if any, of the possible obligation only on the occurrence or non-occurrence of uncertain future events, related to the legal course, not entirely within the control of the Company, and the consequent actions of the Union and the State Government.

While the Company had previously reported and disclosed an estimated amount of contingent liability towards possible obligation under the aforesaid ORISED matter, as on date, based on the above uncertainty, along with an opinion from senior legal counsel obtained by the Company, there is no present/legal obligation in respect of the levy related to the ORISED Act, 2004 and its financial impact along with the possibility of outflow at this stage is unlikely.

The Company has, accordingly, not recognised any provision in its financial statements.

(b) Other amounts for which the Group may contingently be liable aggregate to **₹6,174.37** crore (March 31, 2025: ₹5,307.12 crore), which includes **₹138.34** crore (March 31, 2025: ₹113.77 crore) in respect of equity accounted investees.

The details of significant demands are as below:

(i) the Company pays royalty on iron ore on the basis of quantity removed from the leased area at the rates based on notification issued by the Ministry of Mines, Government of India and the price published by Indian Bureau of Mines (IBM) on a monthly basis.

A demand of ₹411.08 crore was raised by the Deputy Director of Mines, Joda, claiming royalty at sized ore rates on dispatches of ore fines. The Company filed a revision petition before the Mines Tribunal, Government of India, Ministry of Mines, New Delhi, challenging the legality and validity of the demand raised and also to grant refund of excess royalty paid by the Company.

Mines tribunal vide its order dated November 13, 2014 stayed the demand of royalty on iron ore for Joda East mines of ₹314.28 crore upto the period ending March 31, 2014. For the demand of ₹96.80 crore for April, 2014 to September, 2014, a separate revision application was filed before the Mines Tribunal. The matter was heard by the Mines Tribunal and a stay was granted on the total demand with a directive to the Government of Odisha not to take any coercive action for realisation of demand.

Subsequently, the Hon'ble High Court of Orissa in a similar matter held the circulars based on which demands were raised to be valid. On the basis of this judgement the matter was challenged in the Supreme Court, which is pending to be listed for hearing.

In the meanwhile, on October 26, 2022, an assessment order (for the period April 2022 to September 2022) was served, confirming that royalty will be paid for Calibrated Lump Ore and Fines at their respective prices published by the IBM w.e.f. April 2022.

The matter is pending for hearing before the Mines Tribunal, New Delhi, subject to the final hearing at the Hon'ble Supreme Court.

Likely demand of royalty on fines at sized ore rates as on March 31, 2026 is **₹2,696.58** crore (March 31, 2025: ₹2,696.58 crore).

(ii) The Hon'ble Supreme Court pronounced its judgement in the Common Cause case on August 2, 2017 wherein it directed that compensation equivalent to the price of mineral extracted in excess of environment clearance or without forest clearance from the forest land be paid.

In pursuance to the Judgement of the Hon'ble Supreme Court, demand/show cause notices were issued during 2017-18 by the Deputy Director of Mines, Odisha and the District Mining Office, Jharkhand.

NOTES

forming part of the consolidated financial statements

37. Contingencies and commitments (Contd.)

In respect of the above demands outstanding as on March 31, 2026:

- the Company has challenged demands amounting to ₹132.91 crore for production in excess of lower of mining plan and consent to operate limits raised by the Deputy Directors of Mines, Odisha before the Mines Tribunal and obtained a stay of the matter. Mines Tribunal, Delhi vide order dated November 26, 2018 sent back the matter to the State for fresh consideration.

  On September 14, 2022, the Deputy Director of Mines, Government of Odisha issued a fresh demand amounting to ₹107.00 crore against the Company directing payment of compensation amount towards unlawful production in the mines in violation of mining plan/consent to operate. Revision Applications have also been filed against the same on November 3, 2022 with the Mines Tribunal. Thereafter, the Company filed writ petitions against the Order passed by the revisional authority in the case of Katamati Iron Ore mines & Manmora Iron Ore Mines on March 22, 2024.

  The Revisional Authority passed orders dismissing the Revisional Applications filed by the Company for Katamati Iron Ore Mines and Manmora iron ore mines and set aside the orders passed by Deputy Director of Mines against the Company for other mining locations amounting to ₹62.09 crore. Subsequently, on September 01, 2025, the State has raised a demand for interest on delayed payment of these demands amounting to ₹59.40 crore. The Company has challenged these demands via revision applications filed before Mines Tribunal, Delhi on September 18, 2025 and notice has been issued to the State inviting its comments. Demand stayed on November 17, 2025.

  The demand amount of **₹104.50** crore is considered contingent.

- the Company based on its internal assessment had provided an amount of ₹1,412.89 crore against demand notices amounting to ₹2,140.30 crore received from the District Mining Office, Jharkhand for producing more than environment clearance and the balance amount of ₹727.41 crore was considered contingent. Subsequently, based on a favourable judgement of the Revisionary Authority wherein the demands of the State were set aside and legal opinion obtained by the Company, it was considered appropriate to reverse the provision of ₹1,412.89 crore and also drop ₹727.41 crore from contingent liability.

  Subsequently, the Hon'ble High court of Jharkhand in its order on similar matter related to other coal companies decided that the District Mining Officer do not have the authority to raise such demands.

  Pursuant to the above order, the Government of Jharkhand has authorised its designated officials to deal on the above matters.

  Thereafter, on February 2, 2026 and March 30, 2026 the Company has again received similar demands amounting to **₹2,140.30** crore in respect of its collieries in Jharia and West Bokaro in the State of Jharkhand.

  Based on the earlier favourable judgement of the Revisionary Authority and the external legal opinion obtained by Company, the said demand of ₹2,140.30 crore is considered contingent.

(iii) As per the Mine Development & Production Agreement (MDPA) signed by erstwhile Tata Steel Mining limited (TSML) (now merged with the Company) with the State Government, Sukinda Chromite Mine of TSML is required to dispatch annually 80 percent of the average annual production of the last two years before the mine was put into auction. In view of the low volume of open cast minable reserves and inoperable conditions in the mine, TSML approached the State Government for

NOTES

forming part of the consolidated financial statements

37. Contingencies and commitments (Contd.)

revision of MDPA targets. During discussions with the State, TSML had obtained approval for modified mining plan of six lakh tonnes on July 22, 2022 from the Indian Bureau of Mines (IBM) for the period FY2023 till FY2025 basis which the operational plan of TSML was revised accordingly.

On March 13, 2024 the Company received a letter from IBM stating that the modification plan approved vide IBM letter dated July 22, 2022 is no more relevant and is withdrawn. In response to the aforesaid letter, the Company has submitted the Mine Closure plan on March 29, 2024 which was approved on October 08, 2024.

The Company has received various demand letters from the Deputy Director of Mines, Jajpur amounting to ₹4,314 crore on different dates for shortfall in dispatch for the period July 23, 2023 to July 22, 2025 which has been challenged by the Company in the Hon'ble High Court of Orissa.

Subsequently, in a judgement dated April 20, 2026, the Court had quashed the demand notices and directed the State to take fresh steps based on the legal conclusions provided in the judgement.

Accordingly based on the above and external legal opinion obtained by the Company, the demand amount of ₹4,314.00 crore (March 31, 2025: ₹1,563.76 crore) is not considered as contingent.

(iv) Tata Steel Ijmuiden Bv ("TSIJ") operates two coke and gas plants, CGP1 and CGP2. On 19 December 2024, the environmental Agency of the North Sea Canal (EA) imposed penalty orders for alleged exceedances of emission thresholds for substances of very high concern at both facilities with a combined maximum financial exposure of €27 million equivalent to ₹294.34 crore. The Company has made a provision of €22 million equivalent to ₹239.84 crore during the year on account of penalty relating to emissions exceeding permissible thresholds in relation to CGP1 and CGP2.

As at the reporting date, the matter is considered contingent in nature. However, the likely further financial impact could be in the range of €0-5 million (Nil – ₹54.51 crore).

(v) In April 2026, Inspectie Leefomgeving en Transport (ILT) issued a penalty order relating to the classification of LD steel slag, asserting that the material should be classified as hazardous under the CLP regulations. The penalty is set at €15 per tonne, with a maximum financial exposure of €10 million equivalent to ₹109.02 crore. Tata Steel Netherland ("TSN") management strongly contends the classification of slag as by products. Accordingly, the matter is considered contingent in nature and may result in a financial exposure upto €10 million equivalent to ₹109.02 crore.

(vi) Stichting Frisse Wind ("SFW") initiated a class action against Tata Steel IJmuiden B.V. and Tata Steel Nederland B.V. (jointly "Tata Steel") under the Dutch Act on Collective Settlement of Mass Claims ("WAMCA"). Its claim seeks declaratory relief on liability and compensation for alleged damages caused by TSN's operations in Velsen-Noord (including, most importantly, emissions of hazardous and/or harmful substances).

The suit is in admissibility phase in the Court of Law. At this stage, the outcome and potential financial impact of the proceedings cannot be reliably estimated. Accordingly, no provision has been recognised, and the matter is disclosed as a contingent liability.

(vii) On May 19, 2021 a criminal complaint was filed on behalf of more than 800 people and ten foundations against Tata Steel and its de facto managers. In February 2022, the Public Prosecution Office initiated a criminal investigation focusing on the alleged introduction of hazardous substances that

NOTES

forming part of the consolidated financial statements

37. Contingencies and commitments (Contd.)

could affect public health into the soil, air or surface water. On April 8, 2025, the EA NZKG has informed TSIJ that a criminal investigation has been initiated into the exceedance of emission limit values for dust at Continuous Caster Machines ("CCMs") from 2020 to 2025. On February 4, 2026 the EA NZKG issued a written interrogation to which TSIJ has duly responded. The timing and outcome of the overall investigation remain uncertain. Accordingly, no provision has been recognised, and the matter is disclosed as a contingent liability.

B. Commitments

(a) The Group has entered into various contracts with suppliers and contractors for acquisition of plant and machinery, equipment and various civil contracts of capital nature amounting to **₹25,172.35** crore, which includes **₹19.51** crore in respect of equity accounted investees (March 31, 2025: ₹22,625.39 crore which includes ₹23.63 crore in respect of equity accounted investees). Other commitment as at March 31, 2026 amounts to **₹0.01** crore which includes Nil in respect of equity accounted investees (March 31, 2025: ₹0.01 crore)

(b) The Company has given undertakings to:

(i) IDBI not to dispose of its investment in Wellman Incandescent India Ltd.

(ii) IDBI and ICICI Bank Ltd. (formerly ICICI) not to dispose of its investment in Standard Chrome Ltd.

(c) The Group has given guarantees aggregating **₹83.81** crore (March 31, 2025: ₹107.98 crore) details of which are as below:

(i) in favour of Commissioner Customs for **₹1.07** crore (March 31, 2025: ₹1.07 crore) given on behalf of Timken India Limited in respect of goods imported.

(ii) in favour of The President of India for **₹82.59** crore (March 31, 2025: ₹82.59 crore) against performance of export obligation under the various bonds executed by a joint venture Jamshedpur Continuous Annealing & Processing Company Private Limited.

(iii) in favour of ICICI Bank for **Nil** (March 31, 2025: ₹24.17 crore) guaranteeing the financial liability of an associate TRF Limited (TRF), for the purpose of availing banking facility for TRF's business operations including working capital and performance contract.

(iv) in favour of President of India for **₹0.15** crore (March 31, 2025: ₹0.15 crore) against advance license.

NOTES
forming part of the consolidated financial statements

38. Other significant litigations

(a) Odisha Legislative Assembly issued an amendment to Indian Stamp Act, 1899, on May 9, 2013 and inserted a new provision (Section 3A) in respect of stamp duty payable on grant/renewal of mining leases. As per the amended provision, stamp duty is levied equal to 15% of the average royalty that would accrue out of the highest annual extraction of minerals under the approved mining plan multiplied by the period of such mining lease.

The Company filed a writ petition challenging the constitutionality of the Act on July 5, 2013. The Hon'ble High Court, Cuttack passed an order on July 9, 2013 granting interim stay on the operation of the Amendment Act, 2013. Because of the stay, as on date, the Act is not enforceable and any demand received by the Company is not liable to be proceeded with. Meanwhile, the Company received demand notices for the various mines at Odisha totalling to **₹5,579.00** crore (March 31, 2025: ₹5,579.00 crore).

In April 2015, the Company had received an intimation from Government of Odisha, granting extension of validity period for leases under the MMDR Amendment Act, 2015 upto March 31, 2030 in respect of eight mines and upto March 31, 2020 for two mines subject to execution of supplementary lease deed. The Company had paid the stamp duty and registration charges as per the earlier provisions of the Stamp Act, 1899 totaling ₹413.72 crore for supplementary deed execution in respect of eight mines out of the above mines.

The Company subsequently received notices demanding differential stamp duty and registration fees from Deputy Director of Mines amounting to **₹69.16** crore in respect of Joda East iron ore mine and **₹86.07** crore in respect of Katamati iron ore Mine. These have also been challenged by the Company by filing Writ Petitions, for which hearing took place on multiple dates. Meanwhile, the Court has directed the Deputy Director of Mines not to take any coercive action against the Company.

On November 26, 2025, the Company has received demand notices regarding differential stamp duty and registration fees amounting to **₹5.30** crore, **₹4.57** crore, **₹13.58** crore and **₹94.98** crore in respect of Bamebari, Tiringpahar, Joda West and Khondbond Iron Ore & Manganese Mine. These were challenged by filling writ petition on December 1, 2025. The case was listed for hearing on December 8, 2025 and was rescheduled for hearing on February 10, 2026 which could not be taken up and the next date of hearing is not known.

Based on external legal opinion obtained by the Company, the Company is of the view that it is remote that the claim will sustain on ultimate resolution of the legal case by the court.

(b) Noamundi iron ore mine of the Company was due for its third renewal with effect from January 1, 2012. The application for renewal was submitted by the Company within the stipulated time, but it remained pending consideration with the State and the mining operations were continued in accordance with the prevailing law.

By a judgement of April 2014 in the case of Goa Mines, the Supreme Court took a view that second and subsequent renewal of mining lease can be effected once the State considers the application and decides to renew the mining lease by issuing an express order. State of Jharkhand issued renewal order to the Company on December 31, 2014. The State, however, took a view on interpretation of Goa Mines judgement that the mining carried out after expiry of the period of second renewal was 'illegal' and hence, issued a demand notice of **₹3,568.31** crore being the price of iron ore extracted. The said demand was challenged by the Company before the Jharkhand High Court.

The writ petition filed by the company before the Hon'ble High Court of Jharkhand was heard and an interim order was given wherein the Court directed the Company to pay an amount of ₹371.83 crore in 3 equal instalments, first instalment by October 15, 2015, second instalment by November 15, 2015 and third instalment by December 15, 2015.

NOTES

forming part of the consolidated financial statements

38. Other significant litigations (Contd.)

In view of the interim order of the Hon'ble High Court of Jharkhand ₹124.00 crore was paid on September 28, 2015, ₹124.00 crore on November 12, 2015 and ₹123.83 crore on December 14, 2015 under protest.

The case is pending before the Hon'ble High court for disposal. The State issued similar terms and conditions to other mining lessees in the State rendering the mining as illegal.

Based on the Company's assessment of the Goa mines judgement read with the Ordinance issued in the year 2015 and external legal opinion obtained, the Company believes that it is remote that the demand of the State would sustain.

(c) The Supreme Court of India vide its order dated September 24, 2014, cancelled the coal blocks allocated to various entities which included one coal block allocated to the Tata Steel BSL Limited ("TSBSL", entity merged with the Company in an earlier year). Subsequently, the Government of India issued the Coal Mines (Special Provision) Act, 2015, which inter alia deals with the payment of compensation to affected parties for investment in coal blocks.

The Company filed its claim for compensation with the Government of India, Ministry of Coal ('MoC'). The MoC informed that all statutory license, consent approvals, permission required for undertaking of coal mining operations in New Patrapara Coal Mine now vested with Singareni Collieries Company Ltd. ("SCCL", a state Government Undertaking) to whom the mine was subsequently allotted.

The MoC/Union of India filed a supplementary affidavit dated February 11, 2020 before the Delhi High Court vide which it informed that payment of compensation can be made to the prior allottee after the mine is successfully allotted and compensation is deposited by the successful allottee, following the sequence mentioned in section 9 of Coal Mine (Special Provisions) Act, 2015. The MoC vide order dated May 17, 2021 directed SCCL to pay compensation to erstwhile TSBSL.

Subsequently, the Union of India filed an affidavit dated March 6, 2023 before the High Court vide which it informed that the successful allottee i.e., M/s SCCL had surrendered the New Patrapara Coal Block. The hon'ble High Court directed the MoC and Odisha Industrial Infrastructure Development Corporation (IDCO) to file updated status report outlining the amount payable to the prior allottee and indicate the date by which amount could be disbursed.

On July 5, 2023, the Delhi High Court directed the State of Odisha and IDCO to release the available balance of ₹105.33 crore within four weeks and directed the Union of India to file a detailed affidavit clearly stating as to what steps are being taken to ensure that the coal block is successfully allocated within a reasonable period of time. Government of Odisha along with IDCO released ₹105.33 crore on August 8, 2023. Further, an amount of ₹0.32 crore was released by IDCO on August 10, 2023 towards compensation pertaining to cost for geological reports.

Subsequently, the MoC vide its letter dated April 15, 2024, informed that the earlier order dated May 15, 2021 wherein compensation payable to the prior allottee was fixed, stands withdrawn and that the compensation needs to be redetermined.

On November 26, 2024, NLC India Ltd was declared as the successful allottee of the coal block i.e., New Patrapara South Coal Block, which is a part of the larger New Patrapara Coal Block.

In view of the change in law and facts, the Company filed an application for withdrawal of its writ petition and seeking liberty to file a fresh writ petition to include subsequent developments. The Court granted liberty to the Company to include in its Writ Petition any other ancillary relief as it may deem appropriate. The Company has subsequently filed a writ petition on May 26, 2025 and a rejoinder on February 24, 2026, which are yet to be taken on record. The date of hearing is schedule to be on July 23, 2026.

The receivable in respect of the de- allocated coal block in the financial statements of the Company amounts to ₹308.90 crore (net of provision of ₹138.74 crore).

Based on an assessment of the matter, including evidences supporting the expenditures and related claims, the Company considers the aforesaid amount to be good and fully recoverable.

NOTES
forming part of the consolidated financial statements

38. Other significant litigations (Contd.)

(d) The Company upon merger of erstwhile Tata Steel Long Products Limited ('TSLP') has a receivable of ₹179.00 crore towards the de- allocated Radhikapur (East) Coal Block.

Pursuant to the judgement of the Hon'ble Supreme Court, the Government of India promulgated the Coal Mines (Special Provision) Act, 2015 (the "Coal Mines Act") for fresh allocation of the coal mines through auction. In terms of the Coal Mines Act, the prior allottee would be compensated for expenses incurred towards land and mine infrastructure. The validity of the Act has been challenged by Federation of Indian Mineral Industries ('FIMI') in 2019 before the Hon'ble Supreme Court to the extent that the Act does not provide grant of just, fair and equitable compensation in a time bound manner to the prior allotees of the coal blocks.

Tata Steel Long Products Limited (TSLP) has filed an application on December 15, 2022, before the Hon'ble Supreme Court in the pending writ of FIMI seeking to expedite the disbursement of compensation. On March 6, 2023, the MoC submitted a status affidavit to the High Court with regard to the ongoing case which was filed by TSLP challenging the constitutional validity of the provisions dealing with the payment of compensation to the prior allottee of the Coal Mines (Special Provisions) Act, 2015. On March 7, 2023, TSLP submitted that the status affidavit did not comply with the previous orders passed. The Company has also filed a rejoinder on May 9, 2025, claiming compensation. On May 4, 2026 the matter was taken up for hearing and the Court was pleased to allow the Application for change of name from Tata Steel Long Products to Tata Steel Limited. Further, the application for amendment of writ petition also stands allowed on the same date. The case is listed for hearing on 23 July 2026.

Based on an assessment of the matter including evidence supporting the expenditure and claim and an external legal opinion obtained by the Company, the aforesaid amount is considered good and fully recoverable.

NOTES
forming part of the consolidated financial statements

39. Disposal of subsidiary

During the year ended March 31, 2026, Tata Steel Advanced Materials Limited, a wholly owned subsidiary of the Company divested its entire stake in a subsidiary Ceramat Private Limited on August 18, 2025 for a consideration of **₹1.00** crore.

A loss of **₹13.73** crore being the difference between the fair value of consideration received and carrying value of net assets disposed off in respect of these businesses sold was recognised in the consolidated statement of profit and loss as an exceptional item.

Details of net assets disposed off and profit/(loss) on disposal is as below:

(₹ crore)

	Book value as on Disposal date
Non-current assets	
Property, plant and equipment	9.93
Capital work-in-progress	0.03
Right-of-use assets	0.71
Other intangible assets	0.22
Other financial assets	0.08
Other assets	2.70
	13.67
Current assets	
Inventories	1.25
Trade receivables	0.04
Cash and cash equivalent	0.29
Other financial assets	0.02
Other assets	0.06
	1.66
Total assets disposed off [A]	**15.33**
Non-current liabilities	
Lease Liabilities	0.42
Provisions	0.08
Retirement benefit obligations	0.19
	0.69
Current liabilities	
Lease Liabilities	0.33
Trade payables	0.36
Provisions	0.05
Other liabilities	0.83
	1.57
Total liabilities disposed off [B]	**2.26**
Carrying value of net assets [C=A-B]	**13.07**
Non-controlling interest [D]	(1.66)
Carrying value of net assets disposed off [E=C-D]	**14.73**

(₹ crore)

	Year ended March 31, 2026
Consideration received in cash and cash equivalents	1.00
Less: Cash and cash equivalents disposed off	(0.29)
Net cash flow arising on disposal	**0.71**

NOTES

forming part of the consolidated financial statements

40. Business combination

(1) On November 12, 2025, the Company had executed a share purchase agreement with BlueScope Steel Asia Holding Pty Ltd ('BSAH') to acquire the balance 50% stake in Tata BlueScope Steel Private Limited ('TBSPL'), a joint venture of the Company. The Company, on December 31, 2025, completed the acquisition of 43,29,90,000 equity shares of face value ₹10/- each for a consideration of **₹1,099.97** crore. Post this transaction, the Company, directly and indirectly, held **99.99%** in TBSPL, which became an indirect subsidiary of the Company with effect from December 31, 2025 and was renamed as "Tata Steel Colors Private Limited" ('TSCPL'). Exceptional item 34(f) in the consolidated statement of profit and loss includes a fair value gain of **₹901.13** crore on account of fair valuation of the pre-existing stake in TBSPL.

Fair value of identifiable assets acquired, and liabilities assumed as on the date of acquisition is as below:

(₹ crore)

	Fair value as on acquisition date
Non-current assets	
Property, plant and equipment	832.71
Capital work-in-progress	5.19
Right-of-use assets	796.45
Other intangible assets	514.48
Intangible Assets Under Development	1.57
Other financial assets	2.10
Other assets	33.62
	2,186.12
Current assets	
Inventories	542.00
Investments	100.03
Trade receivables	387.43
Cash in cash equivalent	52.73
Other assets	26.33
Assets held for sale	255.06
	1,363.58
Total assets [A]	**3,549.70**
Non-current liabilities	
Lease Liabilities	706.12
Provisions	15.43
Retirement benefit obligations	2.72
Deferred tax liabilities	275.91
	1,000.18
Current liabilities	
Lease Liabilities	52.75
Trade payables	472.78
Other financial liabilities	43.36
Provisions	46.34
Other liabilities	60.79
Current tax liabilities	4.58
	680.60
Total liabilities [B]	**1,680.78**
Fair value of identifiable net assets [C=A-B]	**1,868.92**
Non-controlling interest [D]	0.02
Fair value of identifiable net assets acquired [E=C-D]	**1,868.90**